NISM SERIES V-B · SEPTEMBER 2026 WORKBOOK · STUDY NOTES

Mutual Fund Foundation

The 'starter kit' MF certificate: simple schemes, clean rules, 50 questions, no negative marking.

Think of the mutual fund world as a big supermarket of investment products. NISM V-A licenses you to sell anything on the shelves; V-B is a lighter licence for a 'new cadre' of sellers (postal agents, retired government and bank officers, bank correspondents) who may sell only the simple, well-performing aisles: liquid and money market funds, index funds, diversified equity funds, retirement-benefit schemes with tax benefits and FMPs. SEBI requires it because even simple products can be mis-sold, so anyone handing them to small investors in towns and villages must know how a fund works, what the documents say, how KYC and transactions run and what the code of conduct demands.

📋 Exam pattern

50	120 min	50%	No negative marking
Total marks	Duration	Pass mark	Negative marking

50 multiple choice questions · Test centre computers have Microsoft Excel or LibreOffice Calc for numericals. Syllabus weights: Investor Services 20%; Concept & Role, Scheme Related Information, Performance 12% each; Distribution 10%; Legal Structure and Legal & Regulatory 8% each; Investment Landscape, New-cadre Products and Taxation 6% each. Use the September 2026 workbook for exams on or after 18 November 2026.

👥 Who needs it

- New cadre mutual fund distributors permitted by SEBI circular CIR/IMD/DF/21/2012 (13 Sept 2012), who register with AMFI under that category
- Postal agents
- Retired government and semi-government officials (Class III and above or equivalent) with at least 10 years of service
- Retired bank officers with at least 10 years of service
- Other similar persons (such as bank correspondents) notified by AMFI/AMCs from time to time

🧭 Exam strategy

- No negative marking: never leave a question blank. Eliminate, then guess.
- Pass mark is 25/50. Aim for 40+ by owning Investor Services (≈10 Qs) plus Concept, Documents and Performance (≈6 each).
- You have 2.4 minutes per question, so time is generous. Do a first pass in 60 minutes, flag doubtful ones, then revisit.
- Use the provided Excel/LibreOffice for CAGR and ratio numericals; type the formula rather than guessing.
- Watch for 'NOT', 'EXCEPT' and 'minimum vs maximum'; percentage limits (65 vs 80, 35+35) are classic traps.
- Your V-A background covers about 85% of this; focus on V-B-specific items (new-cadre eligibility and product list, Life Cycle Fund rules) and 2026 updates (full trail, B-30/women incentive, CSCRF, 10 nominees, SIF).
- For cut-off questions, first ask 'liquid/overnight or not?', then 'purchase or redemption?', then 'when were funds available?'.
- For 'who appoints whom' and 'which document' questions, recall the temple-trust picture: sponsor → trustees → AMC, with custodian and auditor answering to trustees.



Chapter 1 · Weight: 6%

Investment Landscape

Why people invest at all: saving comes first, then investing, and every product is judged on safety, liquidity and returns plus convenience, ticket size and tax. It lays out the four asset classes, the four money needs and how goals (with inflation) turn into an investing plan where mutual funds are simply the outsourced way of doing it.

> **MAKE IT STICK**
> Sapna is 8 and college is 10 years away. Her parents think ₹10 lakh will do. At 8% fee inflation they actually need about ₹21.59 lakh. Mutual funds don't change what you invest in; they change who does the investing for you.

1. 'Saving' comes from the same root as 'safe'; investing aims at profit. Saving and investing are two steps of one process: saving comes first.
2. Three most important evaluation factors: safety, liquidity, returns. Others: convenience, ticket size, taxability of income, tax deduction.
3. An exit penalty does not reduce liquidity; it reduces returns (a trade-off between liquidity and returns).
4. Four broad asset classes: real estate, commodities, equity, fixed income. Real estate and commodities are 'real assets'; equity and debt are financial assets.
5. Real estate: location is the most important factor; it is illiquid, not divisible and has high transaction and maintenance costs.
6. Commodities such as gold and silver give only capital appreciation, with no current income. Gold is seen as a 'safe haven'.

7 Bonds bought at issue and held to maturity usually give no capital gain; secondary market trades can create gains or losses. Bonds are lending assets; equity, real estate and commodities are ownership assets.

8 Sensex grew from 100 (base 1979) to 82,269 by 30 Jan 2026, about 15.4% p.a. before dividends.

9 Four financial needs: transaction (banks), protection (life and health insurance), investment, retirement.

10 Retirement has an accumulation (pre-retirement) phase and a distribution (post-retirement) phase, where annuities come in.

11 Goal setting means identifying events, prioritising them (responsibilities, dreams, good-to-have), fixing the timeline and the inflation-adjusted amount.

12 Whether to outsource money management depends on three questions: Can I do it? Do I want to? Can I afford to outsource?

13 The hidden costs of DIY investing are the value of your time and the mistakes caused by emotional attachment.

Top 3 evaluation factors
Safety, liquidity, returns

Four asset classes
Real estate, commodities, equity, fixed income

Real assets
Real estate + commodities

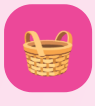
Four financial needs
Transaction, protection, investment, retirement

Sapna example
₹10 lakh @ 8% for 10 yrs ≈ ₹21.59 lakh

Inflation example
₹30,000/month @ 6% → ₹31,800 next year; >₹53,000 in 10 yrs

🎯 EXAM TIP
Expect the inflation formula (Cost × (1+i)^n), 'which asset has no current income' (commodities), the 4 needs and who meets them, and which assets are real versus financial.

⚠️ TRAP
Exit loads and lock-in penalties hit RETURNS, not liquidity. And a self-occupied house is an expense, not an investment.



Chapter 2 · Weight: 12%

Concept and Role of a Mutual Fund

A mutual fund is a trust that pools money and invests it 'through' professionals according to a stated objective. The chapter covers the unit vocabulary (face value, NAV, AUM, MTM), benefits and limitations, open/close/interval structures, active vs passive, and SEBI's 2026 scheme categorisation with all the percentage limits.

MAKE IT STICK

Imagine a group tiffin service: 1,000 families chip in, one expert chef shops and cooks, and everyone gets a share of every dish. You don't pick the vegetables (no customisation), but you get variety (diversification) for ₹500.

1. You invest THROUGH a mutual fund, not IN it. It is a different way of investing, not a different product.
2. Face value of a unit is typically ₹10. Unit capital = units issued × face value. AUM = current NAV × units outstanding.
3. NAV is the true worth per unit, i.e. the net realisable value per unit if the scheme were liquidated. MTM valuation is done daily.
4. Profits and losses belong only to unitholders; every other constituent earns only a fee or commission.
5. Benefits: professional management, diversification for as little as ₹500, economies of scale, transparency, liquidity, tax deferral, ELSS deduction (up to ₹1.5 lakh u/s 80C, old regime), convenience, regulatory comfort, SIP/SWP/STP.
6. Limitations: no portfolio customisation (unlike PMS), choice overload, no control over costs, no guaranteed returns.
7. Open-ended: continuous entry and exit, unit capital keeps changing. Close-ended: buy only in the NFO; listing is compulsory (except ELSS) and units usually trade at a discount to NAV.
8. Interval funds: transaction period at least 2 days, interval period at least 15 days; listing compulsory.
9. ETFs trade intraday on exchanges at multiple prices. Silver ETFs are now allowed. Passive funds have low costs; SEBI's 'MF Lite' framework covers passive-only mutual funds.
10. 2026 categorisation: Equity (13), Debt (17), Hybrid (7), Life Cycle Funds, Other (2: Index/ETF and FoF at ≥95%).
11. Market cap: Large = 1st–100th, Mid = 101st–250th, Small = 251st onwards by full market capitalisation.
12. Equity minimums: Multi cap 75% (≥25% each in large, mid, small); Large cap 80%; Large & Mid 35% + 35%; Mid 65%; Small 65%; Flexi 65%; Dividend yield, Value, Contra, Focused (max 30 stocks), Sectoral, Thematic and ELSS 80%. ELSS has a 3-year lock-in.
13. Debt: Overnight 1 day; Liquid up to 91 days; Ultra short Macaulay duration 3–6 months; Ultra-short-to-short 6–12 months; Money market up to 1 year; Short 1–3 yrs; Medium 3–4; Medium-long 4–7; Long >7; Corporate bond 80% in AA+ and above; Credit risk 65% in AA and below; Banking & PSU, Gilt, 10-yr Gilt and Sectoral debt 80%; Floater 65%.
14. Hybrid: Conservative 10–25% equity; Balanced 40–60% each (no arbitrage); Aggressive 65–80% equity; Multi-asset ≥3 asset classes at ≥10% each; Arbitrage ≥65% equity; Equity savings ≥65% equity, ≥10% debt, net equity 15–40%.

15 Life Cycle Fund: open-ended, target date with a glide path, tenure 5–30 years in multiples of 5, max 6 active for subscription per MF, maturity year in the name (e.g. Life Cycle Fund 2045).

16 Only one scheme per category, except index funds/ETFs on different indices, FoFs with different underlying schemes, and sector/thematic funds on different sectors/themes.

17 SIF (Specialized Investment Fund) needs a minimum of ₹10 lakh across all its strategies at the same AMC. Industry AUM: ₹12.33 lakh crore (Mar 2016) to ₹79.46 lakh crore (Mar 2026).

Face value **₹10 per unit**	Interval fund **Transaction period ≥2 days; interval ≥15 days**	Index fund / ETF / FoF **≥95% in index / underlying fund**
Focused fund **Max 30 stocks, ≥80% equity**	Liquid vs Money market **≤91 days vs ≤1 year**	Life Cycle Fund **5–30 yrs, multiples of 5, max 6 active**
SIF minimum **₹10 lakh per investor per AMC**	SIP flows **₹8,055 cr (Mar 2019) → ₹32,087 cr (Mar 2026)**	

🎯 EXAM TIP
The categorisation table is the goldmine: minimum equity %, Macaulay duration bands, market cap ranks, 'which can have more than one scheme per AMC', and NAV versus AUM definitions.

⚠️ TRAP
Large & Mid cap is 35% + 35% (not 50/50), Mid and Small cap are 65% (not 80%), and Credit Risk is 65% in AA and BELOW (AA+ excluded), while Corporate Bond is 80% in AA+ and ABOVE.



Chapter 3 · Weight: 8%

Legal Structure of Mutual Funds in India

Mutual funds in India are three-tier trusts: the sponsor creates the trust, trustees guard unitholders, and the AMC runs the money, with a custodian, RTA, auditors, KRAs and others around them. It also covers the AMC's internal departments, service providers and AMFI's role, which is industry association only, not regulator.

MAKE IT STICK
Think of a temple trust: the donor (sponsor) sets it up, the trustees make sure offerings are used for devotees (unitholders), and a professional manager (AMC) runs daily affairs, while the locker room (custodian) keeps the valuables safe and separate.

1 A mutual fund is a trust under the Indian Trusts Act, 1882; the trust deed is registered under the Indian Registration Act, 1908 and executed by the sponsor in favour of the trustees.

2 Beneficiaries of the trust are the unitholders. Trustees protect them; a trustee company acts through its Board of Directors.

3 Sponsor: at least 5 years in financial services, positive net worth in each of the immediately preceding 5 years, sound track record, fit and proper.

4 Trustee eligibility (Reg 11): fit and proper; NOT a director, officer or employee of an AMC; NOT a trustee of any other MF; prior SEBI approval needed. At least two-thirds of trustees must be independent.

5 Trustees' core duties: fairness of fees, AMC performance versus peers/benchmarks, preventing mis-selling, preventing undue sponsor influence and conflicts of interest.

6 The AMC is appointed by the sponsor (or trustees, if the deed authorises) with SEBI approval. AMC directors need the trustees' prior approval.

7 AMC appointment can be terminated by a majority of trustees or by 75% of unitholders; any change needs prior approval of SEBI and unitholders.

8 Custodian: appointed by trustees, registered under SEBI (Custodian) Regulations 1996. A sponsor-linked custodian (≥50% voting rights or directors) is barred unless specific conditions are met.

9 The AMC must form a Unit Holder Protection Committee (UHPC), which reports to the AMC board.

10 Compliance Officer signs the due-diligence certificate, reports directly to the head of the AMC and immediately reports non-compliance to trustees.

11 Fund management team: analysts (find ideas), fund managers (decide, own performance), dealers (place orders).

12 Fund accountant needs no SEBI registration. RTA is appointed by the AMC, is optional (can be in-house) but must be SEBI-registered.

13 Scheme auditor is appointed by trustees; AMC auditor by the AMC; they must be different.

14 Valuation agencies for non-traded debt: at least two; AMFI appointed CRISIL and ICRA. KRA regulations came in 2011. Depositories are NSDL and CDSL; ETF units must be in demat.

15 AMFI is an association of AMCs and is neither a regulator nor an SRO. It allots ARN, can cancel ARN for Code violations and runs investor awareness.

16 Cyber Security and Cyber Resilience Framework (CSCRF) goals: Anticipate, Withstand, Contain, Recover, Evolve. Report cyber incidents to SEBI by email within 6 hours and on the portal within 24 hours.

Sponsor track record
5 yrs financial services + positive net worth all preceding 5 yrs

Independent trustees
At least 2/3

Remove AMC
Majority of trustees OR 75% unitholders (+ SEBI & unitholder approval)

Custodian bar
Sponsor/associates ≥50% voting or directors

Valuation agencies
CRISIL and ICRA (min 2)

Cyber incident reporting
Email 6 hrs, portal 24 hrs

🎯 EXAM TIP

'Who appoints whom' is the favourite: custodian → trustees; RTA → AMC; scheme auditor → trustees; AMC auditor → AMC; AMC → sponsor/trustees with SEBI approval.

⚠️ TRAP

RTA work CAN be done in-house (RTA is not compulsory) but any RTA must be SEBI-registered; the fund accountant needs no SEBI registration. AMFI is NOT an SRO.



Chapter 4 · Weight: 6%

Mutual Fund Products for the New Cadre of Distributors

This is V-B's reason to exist: who can join the new cadre of distributors and which 'simple and performing' schemes they may sell, namely liquid/money market, index, diversified equity, retirement benefit schemes with tax benefits (now taught through Life Cycle Funds) and FMPs, plus what drives returns in each.

MAKE IT STICK

A retired bank manager in Nashik becomes a new-cadre distributor. Her menu is short: a liquid fund for the shopkeeper's idle cash, a Nifty 50 index fund for the teacher's SIP, an FMP for the pensioner wanting predictability. Fancy credit-risk or arbitrage funds are off her menu.

1. Authority: SEBI circular CIR/IMD/DF/21/2012 dated 13 September 2012.
2. Eligible new cadre: postal agents; retired govt/semi-govt officials (Class III and above) with ≥10 years of service; retired bank officers with ≥10 years of service; others such as bank correspondents notified by AMFI/AMC.
3. Permitted products: liquid/money market schemes, index schemes, diversified equity schemes, retirement benefit schemes with tax benefits, FMPs.
4. These must be 'simple and performing': returns equal to or better than the scheme benchmark in EACH of the last three years. AMCs publish the list on their websites.
5. Liquid funds invest up to 91 days; money market funds up to 1 year. Both have very low interest rate and credit risk, suit short uncertain parking and work as STP source funds.
6. Index fund: ≥95% in index constituents, passive, very low TER (SEBI allows lower maximum expenses). It is the simplest way to take exposure to a market, including overseas.
7. Index examples: S&P BSE Sensex 30 stocks; Nifty 50; Nifty SmallCap 250; CRISIL Liquid Fund Index; I-Sec Li-Bex (long G-secs >7 yrs); Russell 3000 (US); Nifty Bank.
8. Diversified equity risk is reduced by (1) a diversified portfolio of quality companies and (2) staying invested for the long term, often via SIP.

9 Life Cycle Fund: target maturity 5–30 years with a glide path; equity falls and debt rises as maturity nears. Graded exit load is 3% within year 1, 2% within year 2, 1% within year 3, nil after 3 years.

10 FMP: close-ended debt fund, portfolio duration aligned with maturity, no redemption before maturity, compulsory listing (liquidity not guaranteed), easier to estimate returns (but no guarantee).

11 Return drivers: liquid, money market and FMP depend on yield on debt; equity and index funds on the stock portfolio; life cycle funds on the equity–debt allocation.

12 Target Maturity Funds: debt funds maturing on a set date (3 to 14 years per Chapter 4), minimise reinvestment risk, listed for exit.

13 New-cadre distributors are exempt from KYD/biometric requirements but must submit self-attested identity and address proof.

Circular	**SEBI CIR/IMD/DF/21/2012, 13 Sept 2012**
Service for retirees	**At least 10 years**
Performance test	**≥ benchmark in each of last 3 years**
Life cycle exit load	**3% / 2% / 1% within yr 1 / 2 / 3; nil after**
Permitted list	**Liquid/MM, Index, Diversified equity, Retirement (tax benefit), FMP**

🎯 EXAM TIP

'Which of these can a new-cadre distributor sell?' Spot index, liquid, FMP or diversified equity among credit-risk, arbitrage, sectoral or gilt distractors. Also asked: who is eligible, and FMP is close-ended.

⚠️ TRAP

Being an 'index scheme' or 'liquid' isn't enough on its own: the scheme must also have matched or beaten its benchmark in each of the last 3 years. Retired officials need Class III or above AND 10 years of service.



Chapter 5 · Weight: 12%

Scheme Related Information

The paperwork investors are told to 'read carefully': SID (the scheme), SAI (the fund house), KIM (the summary that rides with every form), addenda, and the ongoing disclosures (daily NAV and TER, portfolios, results, annual reports, risk-o-meter, dashboards), plus the voluntary factsheet.

MAKE IT STICK

The SID is the car's full manual, the SAI is the manufacturer's company profile, the KIM is the one-page spec sheet stuck on the windscreen, and the addendum is the recall notice clipped to it until the manual is reprinted.

1. Scheme related documents = SID (scheme-specific) + SAI (statutory info on the MF/AMC, one SAI for all schemes). Legally the SAI is part of the SID.

2. Format is prescribed by SEBI. SEBI does not approve the documents; it gives observations, so they are 'vetted', not approved.

3. Drafts are on SEBI's website; final documents go on AMFI's website 2 days before the issue opens.

4. Caveat emptor (let the buyer beware): signing the form means accepting the terms disclosed.

5. KIM is a summary of the SID and SAI and must accompany every application form. It includes objective, asset allocation, risk profile, plans and options, benchmark, performance (1, 3, 5 years and since inception), expenses and grievance info.

6. An addendum carries interim changes, is part of the documents and must be attached to the KIM/SID in stock.

7. Open-ended SID: updated within 1 month of each half-year end (data as of September and March). Fundamental attribute change: addendum immediately, exit option of at least 30 days, public notice in an English national daily plus a regional-language paper.

8. SAI is updated within 3 months of the end of each financial year. KIM is updated at least half-yearly, within 1 month of half-year end, and filed with SEBI electronically.

9. NAV is disclosed every business day on the AMC and AMFI websites. Liquid and overnight funds declare NAV on Sundays and holidays too; close-ended funds at least once a week.

10. TER is disclosed daily (scheme-wise) on AMC and AMFI websites, except IDF schemes. Any expense item above 10% of total expenditure must be disclosed. TER = Base Expense Ratio + brokerage + transaction cost + statutory levies (incl. GST).

11. Portfolio (with ISIN) is disclosed as of month-end within 10 days; debt schemes fortnightly within 5 days, with yields.

12. Unaudited half-yearly results go on the website within 1 month of 31 March and 30 September. Annual report or abridged summary is emailed within 4 months of FY close.

13. Risk-o-meter must be shown for both the scheme and the benchmark when disclosing performance. AMCs also publish a scheme dashboard.

14. Factsheet is NOT mandatory: it is a monthly AMFI best practice, but SEBI disclosure rules still apply to it. Some show only the top 10 holdings.

Final SID/SAI on AMFI site	**2 days before issue opens**
Exit window on fundamental change	**Not less than 30 days**
SAI update	**Within 3 months of FY end**
KIM / SID update	**Half-yearly, within 1 month of half-year end**
Portfolio disclosure	**Monthly within 10 days; debt fortnightly within 5 days**
Annual report	**Within 4 months of 31 March**
Expense item disclosure	**>10% of total expenditure**

🎯 EXAM TIP

Questions love 'which document contains X' (SAI holds AMC/constituent info, valuation norms, tax and legal information; SID holds scheme details), 'who prescribes the format' (SEBI), 'vetted not approved', and the disclosure timelines.

⚠️ TRAP

The factsheet is voluntary (AMFI best practice), not mandatory. And SEBI never 'approves' an SID; it only makes observations.

Chapter 6 · Weight: 10%

Fund Distribution and Channel Management Practices

How funds reach investors (individuals, banks, national distributors, exchanges, MFU/MF Central, apps), how to become a distributor (NISM → KYD → ARN → empanelment), how distributors get paid (full trail only, plus the new B-30/women incentive), commission disclosure and due diligence thresholds, advisory versus execution-only, and what happens on a distributor's death or a change of distributor.

MAKE IT STICK

A distributor's trail commission is like rent from a tenant who renovates every year: it is paid on today's value (₹15 NAV), not what you collected (₹10 NAV), and it continues as long as the tenant stays. Poach a tenant and nobody collects rent for 12 months.

1. The distributor analyses the investor (needs, goals, asset allocation); the fund manager analyses the market.
2. Channels: individuals, non-individuals (banks, NBFCs, brokers, national/regional distributors), online platforms (Execution Only Platform circular of 13 June 2023), stock exchanges (BSE StAR MF, NSE NMF II), MF Utilities and MF Central.
3. MFU gives a Common Account Number (CAN). KYC is required (MFU can facilitate it), and the CAN's bank and nomination details override folio details. MF Central was built by CAMS and KFintech.
4. Steps to become a distributor: NISM certificate → KYD (PAN and address proof at CAMS PoS, biometric of right index finger, now largely online) → ARN from AMFI (minimum age 18) → empanelment with AMCs.
5. People aged 50+ or with 10+ years of MF selling experience as of 31 May 2010 could qualify via CPE instead of the exam. New-cadre distributors are exempt from KYD/biometrics.
6. Employees of institutional distributors need NISM certification and an EUIN, and work under the institution's ARN.

7 Full trail model (SEBI Master Circular 20 Mar 2026): no upfront commission and no upfronting of trail, directly or indirectly; trail is paid only in money. Transaction charges (earlier on ₹10,000+) were withdrawn in 2025.

8 Daily trail = AUM × annual rate ÷ 365, computed on current value (NAV-linked) and paid as long as the money stays. No commission on self-business.

9 Additional incentive for new PANs from B-30 cities and new women investors (Top-30 and B-30): 1% of the first lump sum (max ₹2,000, if held 1 year) or 1% of the first year's SIP (max ₹2,000), paid from the 2 bps investor-education set-aside, with claw-back; no dual incentive.

10 GST registration applies above ₹20 lakh turnover; AMCs pay GST under reverse charge for unregistered distributors. AMFI best practice (12 Mar 2026): base commission to all, GST component only to registered distributors against a valid invoice.

11 Commission disclosure and AMC due diligence apply to distributors with >20 locations, OR >₹100 crore non-institutional AUM, OR commission >₹1 crore p.a. industry-wide, OR >₹50 lakh from a single MF. Portfolio turnover >2× industry average triggers additional due diligence.

12 Only two relationship types: 'Advisory' (appropriateness) or 'Execution only' (written unsuitability warning, acknowledged by the investor). No third category; conflicts must be disclosed when selling group products.

13 MFDs give advice only incidental to distribution and can't call themselves investment advisers (IA Regulations 2013 exemption). Mis-selling (PFUTP 2003) = false or misleading statement, concealing material facts or risk factors, or not ensuring suitability.

14 On a distributor's death: commission goes to the nominee (as trustee for legal heirs) or legal heirs until AUM is nil or the investor changes the ARN. The nominee need not hold an ARN to receive commission but needs a valid, KYD-compliant ARN to take over AUM. Clients get 15 days to object; no new business under the deceased's ARN.

15 Investor-initiated change of distributor needs no NOC, and no trail is paid to either distributor for a 12–month cooling-off period, except when the old distributor voluntarily ceased business.

16 Distributor-initiated code changes are allowed only for a change in legal status, merger/acquisition within a group, family consolidation or transfer of business. The entire AUM must move to a valid, KYD-compliant ARN, and the old ARN is surrendered.

Due diligence thresholds
>20 locations / >₹100 cr AUM / >₹1 cr commission / >₹50 lakh from one MF

Trail per day
AUM × rate ÷ 365

New-investor incentive cap
1%, max ₹2,000 (lump sum held 1 yr / first-year SIP)

Change of distributor cooling-off
12 months, no trail to either

ARN minimum age
18 years

Deceased MFD transfer objection window
15 days

GST threshold
Turnover above ₹20 lakh

🎯 EXAM TIP

Numbers asked: the four due diligence thresholds, trail calculation (₹10 lakh × 1% ÷ 365 = ₹27.40/day), the 12-month rule and the ₹2,000 incentive cap. Concepts asked: advisory vs execution only, CAN, EUIN.

⚠️ TRAP

Upfront commission is gone: only trail, only in money. And the nominee of a deceased distributor RECEIVES commission without an ARN but needs a valid ARN to TRANSFER the AUM.



Chapter 7 · Weight: 12%

Performance of Mutual Funds

How to measure returns (simple, annualised, CAGR, total return), how exit loads cut investor returns, the long list of risks in equity and debt funds, risk-adjusted measures (Sharpe, Treynor, Information Ratio, tracking error), and how benchmarks are chosen (TRI and two-tier).

MAKE IT STICK

Two runners: one finishes 10 km in 50 minutes on a flat road, the other in 55 minutes uphill. Raw time (return) favours the first; time per unit of difficulty (risk-adjusted return) may crown the second. Sharpe uses total bumpiness (SD), Treynor uses market slope (beta).

1. Simple return = (Later value – Initial value) ÷ Initial value. NAV ₹12 → ₹15 = 25%.
2. Annualised (simple) return = simple return × 12 ÷ months. 5% in 6 months = 10% p.a.; 3% in 4 months = 9% p.a.
3. CAGR = (Later value ÷ Initial value)^(1/n) – 1. ₹1 lakh at 8% for 5 years → ₹1,46,933 compound versus ₹1,40,000 simple.
4. Total return = [(End value – Begin value) + Dividends] ÷ Begin value. Ashish: ₹1 lakh → ₹1.2 lakh + ₹20,000 dividend = 40%.
5. Entry load is banned; exit load is allowed. With a 1% exit load, NAV ₹15 pays ₹14.85, so investor return < scheme return.
6. MFs can't promise returns unless it's an assured-return scheme with a guarantor named in the SID.
7. Risks: liquidity, interest rate (rates up → bond prices down), reinvestment, political, economic, foreign currency (an FPI issue), settlement/counterparty, stock lending/short selling, mid/small-cap volatility, dividend, rating migration, credit, segregated portfolio, REIT/InvIT.
8. Unsystematic (company-specific) risk is diversifiable; systematic (market) risk is not. Theory says investors are rewarded only for systematic risk.
9. Sharpe = (Rs – Rf) ÷ Standard deviation. Example (7% – 5%) ÷ 0.5% = 4. Compare only similar schemes.
10. Treynor = (Rs – Rf) ÷ Beta. Example (8% – 5%) ÷ 1.2 = 2.5. Best for diversified equity schemes.

11 Information Ratio = (Portfolio return – Benchmark return) ÷ SD of excess return. It is the ONLY mandatory risk-adjusted disclosure, published daily, using the tier-1 benchmark and daily returns.

12 Tracking error = annualised SD of the difference between fund and index returns, measured against the TRI. Lower is better for an index fund. Market beta = 1.

13 A benchmark must match the objective, asset allocation and strategy, and be independently computed. The AMC chooses it with the trustees.

14 Since 1 Feb 2018 schemes are benchmarked to the Total Return Index (TRI includes dividends; PRI only prices). Two-tier benchmarks (SEBI, 27 Oct 2021): tier-1 = category, tier-2 = style. Hybrid, Life Cycle, sectoral/thematic and index/ETF use a single benchmark; a FoF in one fund uses that fund's benchmark.

Sharpe	Treynor	Information Ratio
(Rs – Rf) ÷ SD	**(Rs – Rf) ÷ Beta**	**(Rp – Rb) ÷ SD of excess return; mandatory daily**

TRI benchmarking from	Two-tier benchmark circular	Market beta
1 Feb 2018	**27 Oct 2021**	**1**

🎯 EXAM TIP
Expect 2–4 numericals: simple, annualised, CAGR, total return, Sharpe, Treynor, exit-load price. Plus 'which risk is this?' descriptions and 'which ratio uses beta'.

⚠️ TRAP
Sharpe uses standard deviation, Treynor uses beta, IR uses SD of EXCESS return over the benchmark. Past returns are NOT a basis for choosing a benchmark.



Chapter 8 · Weight: 6%

Taxation

The mutual fund itself pays no income tax; investors pay on capital gains and IDCW. Rates depend on scheme type (equity-oriented >65% listed domestic equity versus others), holding period (12 or 24 months), dates (post-1 April 2023 purchases, post-23 July 2024 redemptions), plus STT, stamp duty, 80C, TDS, set-off and GST rules.

MAKE IT STICK
A mutual fund is a glass pipe: income flows through untaxed and is taxed only when it lands in your bucket. Growth option = you decide when to open the tap (tax deferral); IDCW = the tap opens when the fund decides, and you pay slab tax each time.

1 Mutual fund income is exempt under Section 10(23D); the MF is a pass-through vehicle.

2 Equity-oriented fund: >65% in domestic listed equity. A FoF investing in equity funds is NON-equity for tax.

3 Joint holding: capital gains and dividends are taxed in the first holder's hands.

4 Holding period for long-term: 12 months for listed securities and equity-oriented units; 24 months for others.

5 Equity-oriented: STCG 20%, LTCG 12.5% above ₹1.25 lakh exemption per financial year (redemptions on or after 23 July 2024).

6 Debt-oriented funds (>65% debt) and debt ETFs are taxed at the marginal slab rate (MSR). Hybrid with 35–65% equity and FoFs/international funds: STCG at MSR, LTCG 12.5% after 24 months. Equity and gold ETFs: LTCG 12.5% after 12 months.

7 Grandfathering: equity gains up to 31 Jan 2018 are exempt; cost = higher of actual cost or the 31 Jan 2018 value. (Bought ₹1 lakh, worth ₹2 lakh on 31 Jan 2018, sold ₹2.2 lakh → taxable LTCG ₹20,000.)

8 Dividend Distribution Tax was abolished (Budget Feb 2020); IDCW is now taxed at the investor's slab rate. TDS of 10% applies to IDCW above ₹10,000 even for residents; there is no TDS on redemption for residents.

9 NRIs: TDS at the lower of the Income Tax Act rate or the DTAA rate (with documentation).

10 Stamp duty (from 1 July 2020): 0.005% on purchases (lump sum, SIP, STP, switch-in, IDCW reinvestment); 0.015% on transfers. Units are allotted on the net amount.

11 STT applies only on the SALE of equity-oriented units: 0.001% (to the MF or delivery-based on exchange), 0.025% non-delivery. Nil on purchase; none on debt funds.

12 Set-off: capital losses can't be set off against other heads; STCL against STCG or LTCG; LTCL only against LTCG; carry forward up to 8 years.

13 ELSS: deduction up to ₹1.5 lakh u/s 80C (old regime only), 3-year lock-in for EACH SIP instalment and each reinvested IDCW; benefit goes to the first holder.

14 GST: on investment management and advisory fees it is charged over and above the TER limit; GST on exit load is deducted from the load; GST on brokerage stays within TER; the distributor's GST can't be charged to the scheme.

Equity STCG / LTCG	**20% / 12.5% above ₹1.25 lakh**
Equity-oriented test	**>65% domestic listed equity**
Long-term holding	**12 months (equity-oriented/listed); 24 months others**
Stamp duty	**0.005% issue; 0.015% transfer**
STT on equity fund redemption	**0.001% (seller)**
IDCW TDS	**10% if > ₹10,000**
Loss carry forward	**8 years**
Grandfathering date	**31 Jan 2018**

🎯 EXAM TIP

Common asks: who pays STT and when, the stamp duty rate, the equity-oriented threshold, LTCG exemption arithmetic, set-off rules and the ELSS SIP lock-in.

⚠️ TRAP

An equity FoF is NOT equity-oriented for tax. ELSS SIP instalments each have their own 3-year lock-in. STT never applies on purchase or on debt funds.

Chapter 9 · Weight: 20%

Investor Services

The biggest chapter: the full life of an investment, from NFO and allotment through plans and options, account statements, eligible investors, application forms, payment modes and limits, cut-off times and time stamping, KYC and PAN exemptions, systematic transactions, nominations, pledge, demat, transfer, transmission, changes in investor status and unclaimed assets (MITRA).

MAKE IT STICK

Picture a train station: the NFO is the maiden journey (max 15 days of boarding), cut-off time is the gate closing (3 pm; 1:30 pm for the liquid express), the time stamp is the platform ticket, KYC is your ID check, and SIP/SWP/STP are your monthly season passes.

1. NFO: SID approved by trustees and the AMC board, filed with SEBI. NFOs other than ELSS stay open for at most 15 days. Close-ended schemes have no re-opening date.
2. Units are allotted within 5 business days of NFO close (demat credit within 2 working days). Refunds are due within 5 business days, else 15% p.a. interest charged to the AMC.
3. Direct and regular plans have the same portfolio but different TER and separate NAVs. Write 'Direct' in the ARN box; anything routed through a distributor = regular plan.
4. IDCW payout and reinvestment: NAV drops by the dividend (ex-dividend NAV). Reinvestment adds units at ex-NAV (₹2 × 100 units ÷ ₹20 = 10 units). Growth: no payout, NAV captures everything.
5. Bonus 1:3 = 1 free unit per 3 held. NAV falls proportionately; value unchanged.
6. CAS: monthly to investors who transacted (PAN-based, across MFs); half-yearly (Sept/March) if no transaction for 6 months.
7. Up to 3 joint holders; benefits go to the first holder. Joint holders can't be added or changed (deletion only on death). A minor invests via a guardian, has no joint holders and pays from the minor's, parent's/guardian's or joint account. A PoA holder can do everything except nominate.
8. Payments: credit cards not allowed; e-wallet and cash combined umbrella limit ₹50,000 per investor per MF per FY (only cash/debit-card/net-banking loaded money). Cash allowed only for resident individuals, sole proprietors and minors; payouts always through banks.
9. Third-party payments are generally barred. Exceptions: parents/grandparents/related persons for a minor up to ₹50,000 per purchase or SIP instalment, employer payroll, custodian for FPI, and AMC paying distributor commission in units. DDs bought with cash of ₹50,000+ are not accepted; cheques older than 3 months are stale.
10. Multiple bank accounts: up to 5 for individuals, 10 for non-individuals. Instant Access Facility (liquid only): lower of ₹50,000 or 90% of value, per day per scheme per investor.

11 Cut-off: equity/debt purchases 3 pm, NAV of the day funds are available for utilisation; liquid/overnight purchases 1:30 pm, previous day's NAV; redemptions 3 pm. Overnight funds online cut-off 7 pm. Not applicable to NFOs and international schemes.

12 Time stamping happens at the OPoA (not when the distributor receives the form); online transactions use the web-server time; for non-financial requests only the date matters.

13 KYC covers every holder, guardian and PoA holder. PAN is exempt for Sikkim residents, govt and court officials, UN/multilateral bodies, and micro-investments up to ₹50,000 per year per MF (PEKRN). CKYC by CERSAI applies to accounts from 1 Aug 2016. IPV is mandatory. UBO thresholds: company >25%, partnership >15%, trust 15%; listed companies exempt.

14 SIP = rupee cost averaging; registration typically takes 15–30 days; top-up (fixed or %); pause for 1–6 months; minor's SIP runs only till majority. SWP with exit load needs more units (1% load → 101.0101 units for ₹1,000 at NAV ₹10). STP = SWP plus SIP (min amounts don't apply). DTP reinvests IDCW the next business day after record date.

15 Nomination: up to 10 nominees under SEBI's new norms; only individuals can nominate; no nomination in a minor's folio or by a PoA holder. Nominee can't be a trust (except religious/charitable), society, body corporate, partnership, HUF karta or PoA holder. A nominee holds units in trust for legal heirs; joint holders take precedence over nominees.

16 Minor turned major: folio frozen for guardian, SIP/SWP/STP stop, IDCW continues; MAM form, PAN, KYC and bank signature attestation needed. Unclaimed and inactive folios can be traced on MITRA (CAMS and KFintech).

NFO open period
Max 15 days (except ELSS)

Allotment / refund
Within 5 business days; delay → 15% p.a.

Cut-off purchase
3:00 pm (liquid/overnight 1:30 pm)

Cash + e-wallet
₹50,000 per investor per MF per FY

Micro-SIP / PAN exemption
Up to ₹50,000 per year per MF

Instant Access Facility
Lower of ₹50,000 or 90% of value

Bank accounts per folio
5 individuals, 10 non-individuals

Joint holders
Max 3

Nominees
Up to 10 (new SEBI norms)

UBO threshold
Company >25%; partnership >15%

🎯 EXAM TIP
With 20% weight, expect about 10 questions: cut-off and applicable NAV, IDCW/bonus arithmetic, third-party payment exceptions, PAN-exempt categories, nomination rules, minor-turned-major steps and the SIP top-up/STP numericals.

⚠️ TRAP
Time stamp at the OPoA, not when the distributor picks up the form. For equity/debt purchases NAV depends on WHEN FUNDS ARE AVAILABLE, not when the form is filed. Joint holder beats nominee on death.

Chapter 10 · Weight: 8%

Legal and Regulatory Environment

SEBI's role and key mutual fund reforms (categorisation, segregated portfolios, TRI), permitted investments (Reg 39), the advertisement code and performance-disclosure rules, investor rights (including unclaimed amounts), grievance redressal (SCORES, SMART ODR), the AMFI Code of Ethics for AMCs and the AMFI code of conduct (AGNI) for intermediaries.

MAKE IT STICK

SEBI is the referee, AMFI is the team association that writes a stricter dressing-room code, and the distributor is the player who must wear the badge 'AMFI-registered Mutual Fund Distributor' in at least size-12 font everywhere they appear.

1. SEBI's preamble: protect investors' interests, and promote the development of and regulate the securities market. The MF Regulations of 1996 were replaced by the SEBI (Mutual Funds) Regulations, 2026.

2. Reforms: one scheme per category; segregated portfolios (after the 2018 credit crisis); winding-up schemes get listed (trading optional, demat); 'liquid plus' names banned (2008); TRI benchmarking from 1 Feb 2018.

3. Reg 39 permitted investments: securities, money market instruments, privately placed debentures, securitised debt, gold and gold-related, silver and silver-related, other assets SEBI specifies.

4. Advertisement code (Fifth Schedule): accurate and fair; no testimonials, rankings or celebrities; standard warning without edits ('Mutual Fund investments are subject to market risks, read all scheme related documents carefully', 14 words, at least 5 seconds in audio-visual ads, vernacular in vernacular ads).

5. Performance in ads: schemes older than 3 years show CAGR for 1, 3, 5 years and since inception, plus point-to-point value of ₹10,000. Under 6 months: no performance. 6–12 months: simple annualised 6-month return. Liquid, overnight and money market funds may show simple annualised 7/15/30-day yields.

6. Additional benchmarks: equity → Sensex/Nifty; debt up to 1 year and arbitrage → 1-yr T-bill; other debt, conservative hybrid and equity savings → 10-yr GoI security. If a fund manager runs more than 6 schemes, show the top 3 and bottom 3.

7. Celebrity endorsement is allowed only at industry level, for awareness, from pooled investor-education money, with SEBI's prior approval.

8. Unauthenticated news: market news is forwarded only after compliance officer approval; chat and blog access is restricted, supervised and logged.

9 Investor rights: beneficial ownership, change distributor without NOC, inspect the trust deed and agreements, nominate, pledge, grievance redressal, exit at NAV without load on fundamental attribute change. 75% of unitholders can remove the AMC or wind up a scheme. Investors sue trustees (not the trust).

10 Unclaimed amounts: claimed within 3 years → prevailing NAV; after 3 years → NAV at end of year 3. The unclaimed plan's management fee is capped at 0.50% p.a., with no exit load.

11 Illiquid security recovered later: if substantial and within 2 years, it goes to old investors; otherwise to the Investor Education Fund. Debt trades are disclosed daily with a 15-day lag.

12 Grievances: AMC/ISC → SEBI SCORES (online, or physical at SEBI offices) → SMART ODR portal (if within limitation and not pending in SCORES or court).

13 AMFI Code of Ethics (for AMCs): significant unitholder = 5%+ of corpus; key personnel trades disclosed to compliance officer at least half-yearly; reports to trustees half-yearly and annually; records kept 3 years; no front running or self-dealing.

14 AGNI (code for intermediaries): explanation sought within 3 weeks → warning letter → registration cancelled on a proven second violation (right of appeal to AMFI). No rebating, no churning, no assured returns, use only the investor's own contact details, disclose commissions on competing schemes.

Standard warning **14 words, ≥5 seconds in audio-visual ads**	No performance in ads **Scheme < 6 months old**
Unitholder power **75% can remove AMC / wind up scheme**	Unclaimed amounts **Within 3 yrs prevailing NAV; later NAV at end of 3 yrs**
Unclaimed plan fee **Max 0.50% p.a.**	Significant unitholder **≥5% of scheme corpus**
AGNI explanation window **3 weeks**	MFD tagline font **At least size 12**

🎯 EXAM TIP

Favourites: celebrity endorsement conditions, the ad-performance rules by scheme age, the 75% unitholder power, unclaimed-amount NAV rule, AGNI's three-step process and the significant unitholder definition.

⚠️ TRAP

Celebrities are never allowed for a particular scheme or AMC brand, only industry-level awareness with SEBI's prior nod. You sue the TRUSTEES, never the trust.

🧮 Formulas

Future cost of a goal (inflation)

```
Future cost = Today's cost × (1 + inflation)^n
```

₹10 lakh × (1.08)^10 = ₹21.59 lakh (Sapna's education).

Unit capital

```
Units issued × Face value (₹10)
```

50 lakh units × ₹10 = ₹5 crore unit capital.

AUM

```
Current NAV × Units outstanding
```

1 crore units × NAV ₹25 = ₹250 crore AUM.

Current value of holding

```
Unit balance × Current NAV
```

1,250 units × ₹40 = ₹50,000.

Units allotted

```
Amount invested ÷ Applicable NAV (sale price)
```

₹12,000 ÷ ₹12 = 1,000 units.

Simple return

```
(Later value - Initial value) ÷ Initial value × 100
```

NAV ₹12 → ₹15: 3 ÷ 12 = 25%.

Annualised (simple) return

```
Simple return × 12 ÷ Holding period in months
```

5% in 6 months → 10% p.a.; 3% in 4 months → 9% p.a.

CAGR

```
(Later value ÷ Initial value)^(1/n) - 1
```

₹1,00,000 → ₹1,46,933 in 5 years = 8% p.a.

Total return

```
[(End value - Begin value) + Dividends] ÷ Begin value × 100
```

(1,20,000 – 1,00,000 + 20,000) ÷ 1,00,000 = 40%.

Repurchase price with exit load

```
NAV × (1 - Exit load %)
```

₹15 × 0.99 = ₹14.85.

Sharpe ratio

```
(Scheme return - Risk-free return) ÷ Standard deviation
```

(7% – 5%) ÷ 0.5% = 4.

Treynor ratio

```
(Scheme return - Risk-free return) ÷ Beta
```

(8% – 5%) ÷ 1.2 = 2.5.

Information ratio

```
(Portfolio return - Benchmark return) ÷ SD of excess return
```

(14% – 12%) ÷ 4% = 0.5.

Daily trail commission

```
AUM × Annual trail rate ÷ 365
```

₹10,00,000 × 1% ÷ 365 = ₹27.40 per day.

IDCW reinvestment units

```
(Dividend per unit × Units held) ÷ Ex-dividend NAV
```

₹1 × 100 ÷ ₹11 = 9.09 additional units.

Ex-dividend NAV

```
Cum-dividend NAV - Dividend per unit
```

₹12 – ₹1 = ₹11.

Bonus effect on NAV

```
New NAV = Old NAV × Old units ÷ New units
```

1:3 bonus on 300 units at ₹40: 400 units at ₹30; value stays ₹12,000.

SWP units with exit load

```
Withdrawal ÷ [NAV × (1 - load)]
```

₹1,000 ÷ ₹9.90 = 101.0101 units.

Taxable equity LTCG

```
Total LTCG - ₹1.25 lakh (taxed at 12.5%)
```

₹1,35,000 – ₹1,25,000 = ₹10,000 taxable.

Stamp duty on purchase

```
Amount × 0.005%
```

₹1,00,000 × 0.005% = ₹5; units allotted on ₹99,995.

Additional new-investor commission

```
min(1% of first lump sum or first-year SIP total, ₹2,000)
```

Lump sum ₹1.5 lakh → 1% = ₹1,500 (under cap); ₹3 lakh → capped at ₹2,000.

🔢 Numbers to remember

50 Qs × 1 mark, 120 min, pass 50%, no negative Exam	**₹10** Face value of a unit	**1–100 / 101–250 / 251+** Large / Mid / Small cap rank
≥75% equity, ≥25% each in large, mid, small Multi cap	**≥35% large + ≥35% mid** Large & Mid cap	**≥65% each** Mid cap / Small cap / Flexi cap
Max 30 stocks Focused fund	**Up to 91 days** Liquid fund maturity	**≥95%** Index fund / ETF / FoF
Transaction ≥2 days, interval ≥15 days Interval fund	**5–30 yrs (multiples of 5), max 6 active** Life Cycle Fund tenure	**3% / 2% / 1% in yr 1 / 2 / 3** Life Cycle exit load
₹10 lakh SIF minimum	**≥ 2/3** Independent trustees	**5 yrs financial services + positive net worth 5 yrs** Sponsor eligibility
≥10 years New-cadre retiree service	**≥30 days** Exit option on fundamental change	**Monthly within 10 days; debt fortnightly within 5 days** Portfolio disclosure
Within 4 months of FY end Annual report	**>20 locations, >₹100 cr AUM, >₹1 cr or >₹50 lakh (one MF) commission** Due diligence thresholds	**12 months** Change-of-distributor cooling-off
1%, max ₹2,000 New-investor incentive	**STCG 20%, LTCG 12.5% over ₹1.25 lakh** Equity tax	**0.005% purchase, 0.015% transfer** Stamp duty
0.001% (0.025% non-delivery) STT on equity fund sale	**10% above ₹10,000** IDCW TDS	**8 years** Capital loss carry forward
Max 15 days (except ELSS) NFO period	**5 business days; 15% p.a. if refund late** Allotment / refund	**3 pm; liquid/overnight purchases 1:30 pm; overnight online 7 pm** Cut-off
₹50,000 per investor per MF per FY Cash / e-wallet / micro-SIP	**Up to ₹50,000 per purchase/instalment** Third-party payment for minor	**Lower of ₹50,000 or 90% of value** IAF limit

5 individual / 10 non-individual
Bank accounts

>25% company; >15% partnership; 15% trust
UBO

3-year NAV rule; fee ≤0.50% p.a.
Unclaimed amounts

≥5% of corpus
Significant unitholder

3 weeks
AGNI explanation window

📖 Glossary

NAV	Net Asset Value: the true worth of one unit, i.e. (assets – liabilities) ÷ units; the per-unit value if the scheme were liquidated.
AUM	Assets Under Management: total value of the scheme = NAV × units outstanding.
Unit capital	Units issued × face value (₹10).
Mark to Market	Daily valuation of each security at its current market value to compute NAV.
Sponsor	The promoter who sets up the mutual fund trust and invests in the AMC.
Trustee	Guardian of unitholders' interests; oversees the AMC.
AMC	Asset Management Company that runs the schemes day to day.
Custodian	SEBI-registered entity, appointed by trustees, that holds and settles the scheme's securities.
RTA	Registrar & Transfer Agent: keeps investor records (folios) and processes transactions.
KRA	KYC Registration Agency: central KYC so one KYC works across the securities market.
ARN	AMFI Registration Number, mandatory for every mutual fund distributor.
EUIN	Employee Unique Identification Number for employees of distributor firms.
KYD	Know Your Distributor: AMFI's verification of ARN holders (documents plus biometric).
SID / SAI / KIM	Scheme Information Document (scheme details) / Statement of Additional Information (fund-house details) / Key Information Memorandum (summary attached to forms).
Caveat emptor	'Let the buyer beware': the investor is presumed to have read the scheme documents.
TER	Total Expense Ratio = base expense ratio + brokerage + transaction cost + statutory levies.
Direct plan	Plan bought without a distributor: lower TER, no commission, separate NAV.
IDCW	Income Distribution cum Capital Withdrawal, the renamed dividend option (from 1 April 2021).
Ex-dividend NAV	NAV after the IDCW is paid out (lower by the payout).
Trail commission	Ongoing distributor commission computed daily as a % of current AUM.
CAN	Common Account Number given by MF Utilities to consolidate holdings across AMCs.

OPoA	Official Point of Acceptance where transactions are time-stamped.
Cut-off time	Time limit that decides which day's NAV applies to a transaction.
PEKRN	PAN Exempt KYC Reference Number for PAN-exempt micro investors.
UBO	Ultimate Beneficial Owner of a non-individual investor.
Rupee cost averaging	Buying a fixed amount regularly (SIP) so more units are bought when prices are low.
STP	Systematic Transfer Plan: periodic SWP from a source scheme plus SIP into a target scheme of the same MF.
Tracking error	Annualised SD of the return difference between an index fund and its index (lower is better).
TRI	Total Return Index: price changes plus dividends/interest; mandatory benchmark variant since 1 Feb 2018.
Glide path	Pre-set shift from equity to debt as a Life Cycle Fund approaches its target date.
Segregated portfolio	Side-pocket created to isolate a defaulted or downgraded security from the main portfolio.
MITRA	Mutual Fund Investment Tracing and Retrieval Assistant, the RTA platform to find inactive or unclaimed folios.
SCORES / SMART ODR	SEBI's online complaint system / online dispute resolution portal.
AGNI	AMFI Guidelines & Norms for Intermediaries, the code of conduct for distributors.

⚡ Quick revision: the night before

1. You invest THROUGH a mutual fund; it is a trust (Indian Trusts Act 1882) and unitholders are its beneficiaries.
2. Safety, liquidity, returns are the top 3 evaluation factors; exit loads hurt returns, not liquidity.
3. Commodities give no current income; real estate's #1 factor is location.
4. Four needs: transaction (banks), protection (insurance), investment, retirement (accumulation, then distribution).
5. Face value ₹10; AUM = NAV × units; NAV = per-unit liquidation value; MTM is daily.
6. Close-ended: buy only in the NFO; listing compulsory (except ELSS); usually trades at a discount.
7. Interval fund: transaction period ≥2 days, interval ≥15 days.
8. Large 1–100, mid 101–250, small 251+. Multi cap 75% (25×3); large & mid 35+35; mid/small/flexi 65%; others 80%; index/FoF 95%.
9. Overnight 1 day, liquid 91 days, money market 1 year; credit risk = 65% in AA and below.
10. Life Cycle Fund: 5–30 yrs in multiples of 5, max 6 active, exit load 3/2/1%.
11. Sponsor: 5 yrs in financial services + positive net worth for 5 yrs; ≥2/3 independent trustees.
12. Trustees appoint the custodian and scheme auditor; the AMC appoints the RTA and its own auditor.
13. AMFI = association of AMCs, not a regulator, not an SRO; it issues ARNs.
14. New cadre: postal agents, retired govt (Class III+) / bank officers with 10+ yrs, bank correspondents.
15. New-cadre products: liquid/MM, index, diversified equity, retirement (tax benefit), FMP; must match or beat benchmark in each of the last 3 years.
16. SEBI vets, not approves, SID/SAI; final documents on AMFI site 2 days before NFO opens.
17. KIM accompanies every application form; SAI is updated within 3 months of FY end.
18. Portfolio disclosure monthly within 10 days (debt fortnightly within 5); annual report within 4 months.
19. Factsheet is voluntary (AMFI best practice).
20. Full trail only: no upfront, money only; transaction charges withdrawn (2025).
21. Trail per day = AUM × rate ÷ 365; based on current value.
22. Due diligence: >20 locations / >₹100 cr AUM / >₹1 cr commission / >₹50 lakh from one MF.
23. Change of distributor: no NOC; no trail to anyone for 12 months.
24. Sharpe uses SD, Treynor uses beta; IR is the only mandatory risk-adjusted disclosure (daily).
25. TRI benchmarking since 1 Feb 2018; two-tier benchmarks since Oct 2021.
26. MF income is tax-exempt u/s 10(23D); equity-oriented means >65% domestic listed equity.
27. Equity STCG 20%, LTCG 12.5% above ₹1.25 lakh; long-term after 12 months (24 for non-equity).
28. Stamp duty 0.005% on purchase; STT 0.001% on equity fund redemption, nil on purchase.
29. LTCL only against LTCG; losses carried forward 8 years.
30. ELSS: ₹1.5 lakh u/s 80C (old regime), 3-year lock-in per SIP instalment.
31. NFO max 15 days; allotment and refund within 5 business days.
32. Cut-off 3 pm; liquid/overnight purchases 1:30 pm → previous day's NAV.
33. Cash + e-wallet ≤ ₹50,000 per investor per MF per FY; credit cards not allowed.
34. PAN-exempt: Sikkim, govt/court officials, UN bodies, micro-investments ≤₹50,000.
35. Up to 3 joint holders; 5 bank accounts for individuals (10 for others); IAF lower of ₹50,000 or 90%.
36. Nomination up to 10; no nomination in minor's folio or by a PoA holder; joint holder beats nominee.
37. Minor turns major: folio frozen, SIP stops, IDCW continues until the MAM form is done.

38. No celebrities in scheme ads; industry-level only with SEBI's prior approval.
39. Unclaimed money: prevailing NAV within 3 years; after that, NAV at end of year 3.
40. AGNI: explanation in 3 weeks → warning → cancellation on second proven violation.

🗓️ 10-day study plan (1.5 h/day)

Days 1–2: Chapters 1–4: landscape, fund concept, legal structure, new-cadre products

- Read notes for Ch 1–4 and memorise the categorisation table
- Make a 'who appoints whom' chart
- Take Mock 1

Days 3–4: Chapters 5–6: documents and distribution

- Memorise disclosure timelines and due diligence thresholds
- Work the trail commission example once
- Take Mock 2

Days 5–6: Chapters 7–8: performance and taxation

- Solve every formula in the Formulas section
- Learn the tax table and set-off rules
- Take Mock 3

Days 7–8: Chapters 9–10: investor services and regulation (28% of marks)

- Drill cut-off/NAV cases, payment limits, KYC and PAN exemptions, nomination
- Learn the ad-code and AGNI steps
- Take Mocks 4 and 5

Days 9: Tough practice

- Take Mocks 6 and 7 timed
- Re-read the hints of every wrong answer

Days 10: Revision and simulator

- Run the full 50-question simulator
- Read Quick Revision and Numbers to Remember twice

Independent study notes prepared from the official NISM workbook. Verify against the latest workbook on nism.ac.in.